

# **INSTITUTE OF ACTUARIES OF INDIA**

## **EXAMINATIONS**

**25<sup>th</sup> June 2019**

**Subject SA1 – Health and Care**

**Time allowed: 3 Hours 15 Minutes (14.45 - 18.00 Hours)**

**Total Marks: 100**

### **INSTRUCTIONS TO THE CANDIDATES**

- 1. Please read the instructions inside the cover page of answer booklet and instructions to examinees sent along with hall ticket carefully and follow without exception.*
- 2. The answers are expected to be India Specific application for the syllabus and corresponding core reading. However, substantially the core reading material is still taken from material supplied by Actuarial Education Company which is meant for UK Fellowship examination. The core reading also contains some material which is India Specific, mostly the IRDA regulation. In view of this, it should be noted that focal point of answers is expected to be India Specific application. However, if application specific to any other country is quoted in the answer the candidate should answer the question with reference to Indian environment.*
- 3. Attempt all questions, beginning your answer to each question on a separate sheet.*
- 4. Mark allocations are shown in brackets.*
- 5. Please check if you have received complete Question Paper and no page is missing. If so, kindly get new set of Question Paper from the Invigilator.*

#### **AT THE END OF THE EXAMINATION**

**Please return your answer book and this question paper to the supervisor separately. You are not allowed to carry the question paper in any form with you.**

**Q. 1)** ABC is an Indian Health and Care Insurance Company that started its operation in April, 2017. The promoters of ABC are one private Indian bank, one private equity fund and an overseas entity. The company sells all types of products but its major business comes from individual PMI product where it provides a guarantee that the premium rates will not increase by more than 5% on every renewal till first 4 renewals of such policies. This is the first product of the company and generates 80% of premium revenue of the company. About 40% of this portfolio is reinsured with a reinsurer registered in India. You are the Chief Actuary of ABC.

In the recent analysis of the performance of the PMI product, following information came out:

1. The new business volume in FY 2017-18 is about 50% higher than assumed at the pricing stage but the new business growth in FY 2018-19 is same as assumed.
2. The renewal rate of the product is about 20% higher than assumed at the pricing stage.
3. The gross claim ratio (gross claim / gross premium) during FY 2018-19 is 10% higher than that of FY 2017-18.
4. The net claim ratio (claims net of reinsurance recovery / premiums net of reinsurance premium) is 20% higher in FY 2018-19 than FY 2017-18.
5. No increase in premium rates in the first renewal was effected.

i) What could be the possible reasons for higher new business volume and higher renewal rates? What further analysis should be performed before any conclusion? (14)

ii) Describe the process of analyzing the renewal rates explaining details of follow-up analysis required. (6)

iii) Analyze in detail the information provided regarding the Gross Claim ratio and Net claim ratio. Mention any further analysis required to be performed before conclusion. (13)

iv) Do you feel that no increase in premium rates in the first renewal is justified? Explain. (8)

The Chief Finance Officer (CFO) expressed his concern on increasing Gross Claims ratio and in particular the Net Claims Ratio. He feels that the 4 year guarantee should be withdrawn and the level of reinsurance should be reduced substantially.

v) Prepare a draft of your reply on his proposal to withdraw the guarantee. (6)

vi) What could be the concern of CFO on the level of reinsurance? Prepare your separate reply on his proposal to reduce the reinsurance level substantially. (8)

[55]

**Q. 2)** You work for a standalone Health Insurance company that has been selling indemnity products. Lately, the company has been receiving many complaints from its policyholders. It has been observed that most of the complaints are related to claims.

i) Discuss probable reasons of increase in complaints. (6)

ii) Suggest possible actions the company could take. Also, comment on the actions that the association of insurers could take to reduce complaints and improve overall Policyholder experience. (8)

The insurance regulator, IRDAI, notified Protection of Policyholders' Interest Regulations in 2017.

**iii)** What could be the primary objectives of issuing such a regulation? (3)

In view of the regulation, you have been asked by your management to draft a policy for protecting the interests of policyholders. The draft policy will be submitted to the board for approval.

**iv)** Discuss the aspects that should be covered in the draft policy. (6)

The analytics team of the insurer analyzed the complaints received by the insurer. They found that most of the complaints are related to claims that got rejected because of policy conditions related to waiting periods. The team submitted their findings to the management. The management is considering a possibility whereby insurance applicants will be offered an option to undergo medicals at the time of policy issuance.

Should the applicant choose to undergo medicals and is assessed as medically standard life, there will be no waiting periods under the policy. It would mean all benefits will be covered from day 1. The management has asked you to evaluate the proposal and give your recommendations.

**v)** Discuss the proposal. (12)

Recently, IRDAI directed the insurance companies to make provision for treatment of mental illnesses on the same basis as is available for treatment of physical illness. The directive was effective from the date of notification. When the product was initially priced by your company, all claims related to mental illness were permanently excluded.

**vi)** You have been asked to assess the impact on the claims experience. Further, you have been requested to comment on the anticipated changes this development will entail on approach towards underwriting as well as claims. (10)  
**[45]**

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